7. Decision making can be both positive and negative (i.e) It may be positive to perform certain activities or negative not to perform certain activities.
8. Decisions are made for future course of action based on the past experiences and present conditions.
9. It may also be a decision not to decide for a problem.
10. It may be voluntary or induced
11. It is an ongoing activity.



Decision with facts will give more results. In Law courts decision of the judge is decided by the facts of the case.

4.5 Importance of Decision Making

1. Decision Making Makes it possible to adopt the best course of action in carrying out a given task.
2. By choosing the best method for doing any work, decision making ensures optimum use of the enterprise resources, namely, men, machines, materials and money.
3. Decision making helps to find a solution to any problem in a work place.
4. Decision making helps to identify the best course of action in each given situation and thereby promotes efficiency.
5. Decision is making an important aspect of planning
6. Correct Decision Making leads to more profitable business
7. Decision making helps in the prevention of wastage of time, resources, man power and money invested in business.



India took strong decision in conducting Pokhran nuclear test. The Pokhran-II tests were a series of five nuclear bomb test explosions conducted by India at the Indian Army's Pokhran Test Range in May 1998. It was the second instance of nuclear testing conducted by India; the first test, code-named Smiling Buddha, was conducted in May 1974.

4.6 Factors Affecting Decision Making

There are some factors which affect decision making negatively. They are also called as problems in decision making.

1. The decision taken by management should be a sound one. The soundness of the decision refers to its quality and reliability. If the decisions taken are not sound then it will mean waste of efforts and funds. The soundness of decision depends upon the sophistication of the decision maker, the information available to him and the techniques that he can make use of.
2. Another problem is timing of decision. If not properly timed, there is no use in taking a useful decision.
3. The physical and psychological environments have their influence on decision making. If the environment is satisfactory then there will be co-operation, proper understanding among the members of the organisation. It will provide better scope for research and analysis.
4. Effective communication of the decision is another important administrative problem of the management. Decisions taken should be clear, simple and unambiguous. Decisions made should be communicated to the

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